

# CHAPTER 6

## How Patience and Quality Intertwine

‘I have seen many storms in my life. Most storms have caught me by surprise, so I had to learn very quickly to look further and understand that I am not capable of controlling the weather, to exercise the art of patience and to respect the fury of nature.’

—Paulo Coelho

Over the past twenty-six years, the BSE Sensex, a commonly used benchmark for stock market returns, has delivered compounded annual returns of 13.7 per cent. This return is 5.7 percentage points higher than the risk-free rate of around 8 per cent prevalent during this period and 6 percentage points higher than the Consumer Price Index inflation of 7.6 per cent per annum over the same period. By all accounts, the Sensex has given a satisfactory return over the past twenty-six years. Despite this, the common perception amongst investors in India is that ‘more often than not, people lose money in equity markets’. What explains this investor pessimism with respect to equities, given that the asset class has given healthy returns?

The answer to this can be best understood through Shlomo Benartzi and Richard Thaler’s paper published in 1995, which termed it ‘myopic loss aversion’.

They defined ‘loss aversion’ as: ‘We regret losses two to two-and-a-half times more than similar-sized gains.’ Let us assume we buy two stocks—A and B—for Rs 100 each and sell them for Rs 95 and Rs 110 respectively. We thus book a gain of Rs 5 in total (gain of Rs 10 on stock B minus the loss of Rs 5 on stock A). In this situation, applying the logic of Benartzi and Thaler,